EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Pamplona was created by ecclesiastics and was named Pamplona in 1884 by Vicar Montenegro in memory of his hometown in Spain. It is a fourth class municipality, which is situated in the northwestern coast of the Province of Cagayan, with an area of 17,176 hectares.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Pamplona for CY 2023 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audit were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial condition, financial performance, appropriation, allotments and obligations of the Municipality of Pamplona, Cagayan for the year ended December 31, 2023, with comparative figures for CY 2022, are as follows:

Particulars	2023	2022	Increase/ (Decrease)
Financial Position			
Assets	422,588,204.26	421,516,296.62	1,071,907.64
Liabilities	42,985,830.37	54,334,052.94	(11,348,222.57)
Government Equity	379,602,373.89	367,182,243.68	12,420,130.21
Financial Performance			
Income	152,477,503.83	175,079,832.03	(22,602,328.20)
Expense	137,327,734.51	134,899,630.65	2,428,103.86
Net Income	15,149,769.32	40,180,201.38	(25,030,432.06)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2023, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Re-gravelling/ Road Maintenance of FMRs	1,907,948.43
Construction of Dancing Fountain	3,487,509.39
Construction of Product Processing Center	4,997,575.71
Construction of Municipal Memorial Park (Site Development)	1,998,195.12
Total	**12,391,228.65**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the Financial Statements of the Municipality of Pamplona, Cagayan for the year-ended December 31, 2023 due to non-conduct of the one-time cleansing procedures for its PPE, contrary to COA Circular 2020-006 dated January 31, 2020 and Section 124 of the Manual on the New Government Accounting System for LGUs, Volume ,thus, the validity, existence, and reliability of the reported balance of Property, Plant and Equipment account amounting to P272,545,628.32 cannot be determined.

F. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. The validity, existence, and reliability of the reported balance of Property, Plant and Equipment account amounting to P272,545,628.32 as at December 31, 2023 cannot be determined due to the non-submission of the Report on Physical Count of Property, Plant and Equipment (RPCPPE), contrary to COA Circular 2020-006 dated January 31, 2020 and Section 124 of the Manual on the New Government Accounting System (MNGAS) for LGUs, Volume I, thus, affecting the fair presentation of the LGU's financial statements.

   We recommended that the Management, thru the Local Chief Executive:

   - Require the Inventory Committee to strictly comply with COA Circular No. 2020-006 dated January 31, 2020 for the one-time cleansing of PPE account balances of the Municipality; and

- Require the Inventory Committee to submit the Inventory Report using the prescribed form of Report of Physical Count of Property, Plant and Equipment showing relevant information, such as property number, unit value, balance of PPE per property cards and per count pursuant to COA Circular No. 2020-006 dated January 31, 2020 and undertake all other procedures prescribed under the same Circular to come up with the reconciled and correct balances of PPE accounts in the financial statements.

2. Twenty eight (28) programs, projects, and activities (PPAs) under the 20% Development Fund (DF) totalling to ₱66,462,032.84 were not fully implemented by the Municipality as at December 31, 2023, contrary to DBM-DOF-DILG Joint Memorandum Circular (JMC) No. 2020-1 dated November 4, 2020, thus, depriving its constituents of the expected socio-economic benefits that could have been derived therefrom.

   We recommended that the Management fast track the completion of all on-going and unimplemented projects funded under the 20% Development Fund.

   We also recommended that the Municipal Planning and Development Officer regularly monitor the implementation of the 20% Development Plan, including continuing appropriations, and closely coordinate with the concerned departments in the implementation of these projects, in order for the Municipality to fully achieve the desired socio-economic targets and outcomes.

3. Donations and financial assistance amounting to P2,480,980.00 were granted without appropriate and complete documentation due to the Municipality's failure to establish a well-defined policy and guidelines on the grant of financial assistance contrary to Sections 2 and 4 (6) of Presidential Decree (P. D.) No. 1445 and Section 335 of Republic Act (R. A.) No. 7160.

   We recommended that the Management:

   - Require the Sangguniang Bayan to enact a resolution prescribing the policies and guidelines on the grant of donations/financial assistance containing the following:

     a. Kind of financial assistance (medical, educational, funeral, etc.);
     b. Approval limits for specific cases, including the frequency of grants to each individual;
     c. Criteria in the granting of donation and the documentary requirements for each particular assistance;
     d. All cases should be referred to the MSWDO for eligibility evaluation and the case study report prepared should be made part of the supporting documents of the claim.

- Require the Municipal Accountant to ensure that all payments are adequately and properly supported with the required documents to support the validity and regularity of claims; and

- Refrain from charging SEF related activities against Donations as this practice depletes the budget for intended activities.

G. Summary of Total Suspensions, Disallowances, and Charges as of December 31, 2023

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

H. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the eight (8) audit recommendations in the CY 2022 Annual Audit Report, four (4) were implemented, three (3) were partially implemented, and one (1) was not implemented.